

Insurance Claim Policy v1

Formal RAG Knowledge Base for Policy Eligibility, Approval, Review, Fraud, and Payment

Document purpose

This document provides a coherent demonstration policy for an insurance claims Retrieval-Augmented Generation solution. It consolidates policy-status, claim eligibility, coverage dates, waiting periods, beneficiaries, approval authority, customer-total review, fraud review, and payment rules.

Important: This is a synthetic policy created for solution development, testing, and training. It is not legal advice and does not replace an insurer's approved contract wording, claims manuals, compliance controls, or jurisdiction-specific requirements.

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1. Policy Status Matrix

Policy status	Claim submission	Decision rule
Active	Allowed	The covered event must occur during the active coverage period and satisfy policy terms.
Pending Activation	Not allowed	Wait until the policy becomes active; pre-effective events are not covered.
Grace Period	Conditional	Review premium status and contract-specific grace-period provisions.
Suspended	Not allowed	Do not accept events occurring during suspension unless a documented exception applies.
Lapsed	Not allowed	Coverage ended before the event; reinstatement does not automatically cover prior events.
Cancelled	Conditional	Only events occurring before the effective cancellation date may be considered.
Expired	Conditional	Only events occurring before expiration may be considered if filing rules permit.

2. Claim Eligibility Rules

- The claimant must be the policyholder, an insured person, an eligible beneficiary, or an authorized representative.
- The covered event must fall within the coverage period.
- The claimed loss must be covered and must not be excluded by the applicable policy terms.
- Required evidence must be complete enough to support adjudication.
- A claim may be eligible for review even when payment is not yet authorized.
- Eligibility, approval, fraud review, and payment authorization are separate decisions.

Claim Eligibility Decision Logic

```
IF AuthorizedClaimant = TRUE
  AND EventWithinCoveragePeriod = TRUE
  AND CoveredLoss = TRUE
THEN
  ClaimEligibleForReview = YES
ELSE
  ClaimEligibleForReview = NO or CONDITIONAL
```

3. Coverage Effective Date Logic

Date condition	Result
LossDate < EffectiveDate	Not covered.
EffectiveDate <= LossDate < TerminationDate	Potentially covered, subject to all other policy terms.
LossDate = TerminationDate	Use the exact contract wording and termination time.
LossDate > TerminationDate	Not covered.
LossDate unknown	Request evidence before making a coverage decision.

Boundary principle: The effective date alone does not guarantee coverage. The event must also satisfy waiting-period, exclusion, status, and documentation rules.

4. Waiting Period Rules

- A waiting period begins on the coverage effective date unless the policy states otherwise.
- A covered event occurring before the waiting period ends is not payable under that waiting-period benefit.
- An event occurring on or after the waiting-period end date may proceed to normal eligibility review.
- Waiting periods may differ by coverage type.
- An approved exception must be documented and retrieved together with the governing rule.

Waiting Period Logic

WaitingPeriodEndDate = EffectiveDate + WaitingPeriodDays

```
IF LossDate >= WaitingPeriodEndDate
THEN WaitingPeriodSatisfied = YES
ELSE WaitingPeriodSatisfied = NO
```

5. Beneficiary Claim Rules

- A beneficiary may submit a claim when the insured event and policy type permit beneficiary payment.
- The beneficiary must provide identity, relationship, designation, and event documentation as required.
- If multiple beneficiaries exist, benefit allocation follows the recorded designation or governing policy rules.
- If the beneficiary designation is missing, disputed, or invalid, escalate the claim for legal or specialized review.
- A beneficiary claim does not bypass coverage, fraud, approval, or payment controls.

6. Claim Approval Authority

Total claim amount	Required approver	Boundary treatment
Less than \$5,000	Adjuster	\$4,999.99 remains within Adjuster authority.
\$5,000 to \$10,000 inclusive	Senior Adjuster	Exactly \$5,000 and exactly \$10,000 require Senior Adjuster approval.
More than \$10,000	Manager	\$10,000.01 and above require Manager approval.

```
IF ClaimAmount < 5000          -> Adjuster
IF 5000 <= ClaimAmount <= 10000 -> Senior Adjuster
IF ClaimAmount > 10000         -> Manager
```

7. Customer Total Review Policy

Selection rule: Group claims by CustomerID and include each customer whose SUM(ClaimAmount) >= total_values. A total equal to total_values is included.

- Return CustomerID and TotalClaimAmount for each qualifying customer.
- After identifying qualifying CustomerID values, return all detailed claim transactions for those customers.
- Do not return only the transactions that individually exceed the threshold.
- The threshold is a configurable review parameter and is not an approval level.

```
SELECT CustomerID, SUM(ClaimAmount) AS TotalClaimAmount
FROM dbo.Claims
```

```
GROUP BY CustomerID  
HAVING SUM(ClaimAmount) >= @total_values;
```

8. Claim Fraud Review Policy

Fraud indicator	Required response
Multiple claims in a short period	Flag for review.
Unusually high amount relative to history	Flag for review.
Duplicate or reused documents	Validate documents and flag for review.
Inconsistent identity, policy, event, or loss details	Flag for investigation.
Repeated claims across policies	Review the pattern.

- A fraud indicator is not proof of fraud.
- A flagged claim must be routed to the designated investigation function or SIU.
- Payment remains on hold while fraud review is pending.
- If fraud is not confirmed, resolve the hold and return the claim to normal processing.
- If fraud is confirmed, deny or escalate according to authorized legal and compliance procedures.

9. Claim Payment Policy

Condition	Payment decision
Approved, coverage confirmed, documents complete, no fraud review pending	Authorize payment.
Approval pending	Hold payment.
Fraud review pending	Hold payment.
Required documents missing	Hold payment.
Coverage invalid	Do not authorize payment.
Claim denied	Do not issue payment.

```
IF ClaimApproved = YES
  AND CoverageConfirmed = YES
  AND RequiredDocumentsReceived = YES
  AND FraudReviewPending = NO
THEN AuthorizePayment = YES
ELSE AuthorizePayment = NO
```

10. Auto, Health, and Life Insurance Examples

Type	Scenario	Policy response
Auto	An active policy covers a collision occurring after the effective date.	Review coverage, evidence, approval level, fraud indicators, and payment conditions.
Auto	A collision occurs before the policy effective date.	Not eligible because the event predates coverage.
Health	Treatment occurs during a benefit waiting period.	Do not pay the waiting-period benefit unless a documented exception applies.
Health	Treatment is covered and documents are complete.	Proceed through approval, fraud, and payment controls.
Life	A recorded beneficiary submits complete event and identity documents.	Review beneficiary validity and policy coverage before payment.
Life	Beneficiary designation is disputed.	Escalate for specialized or legal review; hold payment.

11. RAG Question and Answer Samples

Q1. Who can submit a claim?

Answer: A policyholder, insured person, eligible beneficiary, or authorized representative may submit a claim, subject to policy requirements.

Q2. Can a claim be submitted under an active policy?

Answer: Yes, if the event occurred during the coverage period and all other eligibility rules are satisfied.

Q3. Can a pending policy cover an event before activation?

Answer: No. An event before the effective date is not covered.

Q4. Can a grace-period claim be reviewed?

Answer: Yes, conditionally. Premium status and the policy's grace-period provisions must be reviewed.

Q5. Can a suspended policy cover a new event?

Answer: Normally no, unless a documented contract exception applies.

Q6. Can a lapsed policy cover an event after lapse?

Answer: No. Coverage ended before the event.

Q7. Can a cancelled policy cover an earlier event?

Answer: Potentially, if the event occurred before the effective cancellation date and all other rules are met.

Q8. Can an expired policy accept a late-filed claim?

Answer: Potentially, if the event occurred before expiration and the filing rules permit it.

Q9. What makes a claim eligible for review?

Answer: An authorized claimant, an event within coverage, and a covered loss are required.

Q10. Does eligibility mean the claim is approved?

Answer: No. Eligibility, approval, fraud review, and payment are separate decisions.

Q11. What if the loss date is before the effective date?

Answer: The claim is not covered.

Q12. What if the loss date is after termination?

Answer: The claim is not covered.

Q13. What if the loss date is unknown?

Answer: Request supporting evidence before deciding coverage.

Q14. When is a waiting period satisfied?

Answer: When the loss date is on or after the waiting-period end date.

Q15. Can waiting periods vary by benefit?

Answer: Yes. Each coverage may define its own waiting period.

Q16. Can a beneficiary submit a life claim?

Answer: Yes, when the policy permits beneficiary payment and the required evidence is provided.

Q17. What if there are multiple beneficiaries?

Answer: Allocate benefits according to the recorded designation or governing policy rules.

Q18. What if a beneficiary designation is disputed?

Answer: Escalate for specialized or legal review and hold payment.

Q19. Who approves a \$4,999 claim?

Answer: An Adjuster may approve it.

Q20. Who approves a \$5,000 claim?

Answer: A Senior Adjuster must approve it.

Q21. Who approves a \$10,000 claim?

Answer: A Senior Adjuster must approve it.

Q22. Who approves a \$10,001 claim?

Answer: A Manager must approve it.

Q23. Does approval authority determine coverage?

Answer: No. Approval authority applies after relevant eligibility and coverage evaluation.

Q24. Which customers qualify for total review?

Answer: Customers whose SUM(ClaimAmount), grouped by CustomerID, is greater than or equal to total_values.

Q25. Is a customer included when the total equals total_values?

Answer: Yes. Equality is included.

Q26. What happens after a customer qualifies?

Answer: Return the customer summary and all claim transactions for that CustomerID.

Q27. Should only large individual transactions be returned?

Answer: No. Return all transactions for the qualifying customer.

Q28. Can several smaller claims trigger customer-total review?

Answer: Yes, when their combined total meets or exceeds total_values.

Q29. Is total_values an approval limit?

Answer: No. It is a configurable customer-review threshold.

Q30. What is a common fraud indicator?

Answer: Examples include duplicate documents, inconsistent information, unusual amounts, or repeated claims.

Q31. Does a fraud indicator prove fraud?

Answer: No. It identifies a need for investigation.

Q32. What happens when a fraud indicator is detected?

Answer: Flag the claim, route it for investigation, and hold payment.

Q33. Can a suspicious claim be paid immediately?

Answer: No. Payment remains on hold while fraud review is pending.

Q34. What happens if fraud is not confirmed?

Answer: Resolve the fraud hold and return the claim to normal processing.

Q35. What happens if fraud is confirmed?

Answer: Deny or escalate according to authorized legal and compliance procedures.

Q36. Can multiple small suspicious claims trigger review?

Answer: Yes. A suspicious cumulative pattern may trigger a fraud review.

Q37. What happens when duplicate receipts are found?

Answer: Validate the documents and flag the claim for fraud review.

Q38. When may a claim payment be issued?

Answer: Only after approval, coverage confirmation, complete documentation, and resolution of any fraud review.

Q39. Can a denied claim be paid?

Answer: No.

Q40. Can a claim with missing documents be paid?

Answer: No. Payment remains on hold until required documents are received and validated.

Q41. Can a claim under fraud review be paid?

Answer: No.

Q42. What if fraud review starts after approval?

Answer: Suspend any pending payment until the review is resolved.

Q43. What if coverage is invalid?

Answer: Do not authorize payment.

Q44. Does approval automatically release payment?

Answer: No. All payment conditions must also be satisfied.

Q45. What should happen to an eligible auto claim?

Answer: Review evidence, approval authority, fraud indicators, and payment conditions.

Q46. What happens to an auto loss before policy inception?

Answer: It is not covered.

Q47. What happens to health treatment during a waiting period?

Answer: The waiting-period benefit is not payable unless an approved exception applies.

Q48. What happens when health documents are complete?

Answer: The claim may proceed through approval, fraud, and payment controls.

Q49. What must be checked for a life beneficiary claim?

Answer: Beneficiary validity, insured event evidence, policy coverage, and payment controls.

Q50. What happens when a life beneficiary is disputed?

Answer: Escalate the matter and hold payment.

Q51. What is the order of the overall claim workflow?

Answer: Evaluate status and eligibility, validate dates and waiting periods, determine approval authority, perform customer-total and fraud review as applicable, then authorize or hold payment.

Q52. What details should a claim response cite?

Answer: The response should cite the applicable policy rule, relevant claim facts, decision, reason, and required next action.

Q53. How should uncertainty be handled?

Answer: State that the decision is conditional and request the missing evidence or governing rule.

Q54. Should RAG invent missing policy exceptions?

Answer: No. It should use retrieved rules and clearly identify missing information.

Q55. Can one claim require both manager approval and fraud review?

Answer: Yes. Approval authority and fraud review are independent controls.

Q56. Can a customer qualify for total review even when every claim was approved?

Answer: Yes. The total-review threshold is independent of individual approval status.

12. JSON Training Examples and Retrieval Metadata

The following examples are suitable as seed records for testing retrieval and response grounding. They remain synthetic and should be replaced or supplemented with approved organizational content for production use.

```
{
  "id": "status-active-001",
  "category": "policy_status",
  "question": "Can an active policy submit a claim?",
  "answer": "Yes, it can."
},
{
  "id": "approval-10000-001",
  "category": "approval",
  "question": "Who approves a $10,000 claim?",
  "answer": "A Senior Adjuster."
},
{
  "id": "total-review-001",
  "category": "customer_total_review",
  "question": "Is a customer included when total claims equal 10?",
  "answer": "Yes, they are."
},
{
  "id": "fraud-hold-001",
  "category": "fraud",
  "question": "Can a claim be paid while fraud review is pending?",
  "answer": "No, it cannot."
},
{
  "id": "payment-001",
  "category": "payment",
  "question": "When may payment be authorized?",
  "answer": "After approval, coverage is confirmed."
}
```

Recommended Chunk Metadata

Field	Example	Purpose
document_id	insurance_claim_policy_v1	Stable document identifier
version	1.0	Supports controlled updates
section	claim_approval_authority	Improves filtered retrieval
category	approval	Separates business-rule domains
jurisdiction	demo	Prevents accidental production interpretation
effective_date	not_applicable_demo	Avoids invented dates
source_file	insurance_claim_policy_v1.pdf	Supports citation and traceability

RAG Response Guardrails

- Retrieve and cite the specific rule used for each decision.
- Do not combine unrelated thresholds.
- Preserve boundary operators such as less than, greater than, and greater than or equal to.
- Identify missing claim facts instead of guessing.
- Treat this document as synthetic demonstration content unless an approved owner replaces it with production policy.

End of document
Version 1.0. Synthetic insurance claims policy for RAG solution development and testing.